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Thematic Research

Mining Monthly: June Edition

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All figures in USD unless otherwise stated

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1 Month Performance

Gold	-0.6%
Silver	-9.2%
Copper	-8.7%
Platinum	-5.0%

1 Year Performance

Gold	+21.8%
Silver	+28.9%
Copper	+18.6%
Platinum	+11.1%

Equity Indices Performance (1 Month)

GDX	-3.8%
GDXJ	-6.5%
SIL	-10.0%
COPX	-6.3%

Best Performers (1 Month)

Skeena Resources Limited	SKE	+20.6%
G Mining Ventures Corp.	GMIN	+12.0%
Reunion Gold Corporation	RGD	+4.5%
Trigon Metals Inc.	TM	+3.3%
K92 Mining Inc.	KNT	+2.7%

Worst Performers (1 Month)

Victoria Gold Corp.	VGCX	-86.8%
Ascot Resources Ltd.	AOT	-30.8%
Hycroft Mining Holding Corporation	HYMC	-30.0%
Talon Metals Corp	TLO	-28.9%
Santacruz Silver Mining Ltd.	SCZ	-24.7%

Please refer to the applicable disclosures on the back page
Source: Atrium Research, CapitalIQ, Company Documents

What you need to know:

- Following back-to-back positive months and new all-time highs, gold closed down slightly in June, while the gold equities sold off more dramatically.
- Silver fell more sharply than gold (down 9%) following the strong outperformance in May (up 14%), and silver equities followed suit.
- Copper also dropped significantly in June, down 9% to $4.4/lb while the copper equities outperformed the metal slightly, down 7%.
- After two months of several all-time highs for gold and copper and 12-year highs for silver, we believe a month of consolidation like June is warranted and healthy as we continue through this bull market.

Sentiment Update

The metals and mining sector fell sharply in June with all 17 metals in our coverage down except palladium up just 1%. This comes on the back of a handful of positive months, and in our opinion, is a healthy retracement and period of consolidation. Gold was one of the most resilient metals in this sell-off, down just 0.6% in June, while silver and copper were down 9.2% and 8.7% respectively. The gold equities sold off more than the metal with the GDX down 3.8% and the GDXJ down 6.5%. We note the outperformance of the GDX vs. the GDXJ as the larger names are finally attracting stronger hands and being rewarded for consistency. The silver and copper equities sold off significantly alongside their respective metal, with the SIL and COPX down 10.0% and 6.3%, respectively. As expected in a month of consolidation, the mining equities underperformed broader markets with the TSX down 1.9% and the S&P500 up a sizeable 3.4%.

Despite June's performance, we remain bullish on the metals and mining sector and see this recent sell-off as a buying opportunity, specifically around the silver and copper metals and equities. Gold remains attractive, however, we believe that other metals have more upside when this trend turns around. We remind readers of our commentary in the May Mining Monthly note where we wrote about the continued outperformance and accelerating momentum of the mining sector finally appearing to attract new eyeballs and generalist investors to the space.

Battery metals continue to suffer with lithium and nickel down 13% and 16%, respectively. We remain on the sidelines in this space until we see a definitive turnaround in prices, however, the lower prices go, the more investment opportunities arise. Uranium also posted a sizeable negative performance, down 7% to $84.6/lb. We encourage readers to check out our recent piece on the uranium space here.

M&A remained low in June, similar to last month but this was expected after several months of high M&A activity in January-April. We'd like to highlight that Skeena Resources (SKE:TSX) secured $750M in project financing for its Eskay Creek Gold-Silver Project, a sizeable soon-to-be operation in Canada.

On June 12th, U.S. inflation came in at 3.3% YoY and 0% MoM, compared to consensus of 3.5% YoY and 0.1% MoM and the 3.4% and 0.3% reported last month. This contrasts with U.S. Core inflation data which came in at 3.4% YoY and 0.2% MoM, compared to the consensus of 3.5% YoY and 0.3% MoM. Canadian core inflation came in at 1.8% YoY and 0.6% MoM, compared to 1.6% YoY and 0.2% MoM reported last month.

On June 27th, the U.S. GDP Growth Rate came in at +1.4% QoQ, in line with the consensus of 1.4%. Canadian MoM GDP Growth came in at 0.3%, in line with the consensus of 0.3% and up from the 0% posted last month.

Major News

Victoria Gold's (VGCX:TSX) Yukon Eagle gold mine located near Mayo, Yukon, suffered a landslide at its heap leach facility on Monday, June 24th. Luckily, no fatalities have been reported however, the sizeable slide has attracted the involvement of First Nations communities and governments. An investigation will take place as there is concern that cyanide has escaped containment, but this is not confirmed. The stock has seen a decrease in share price of over 90% since the incident was announced. We will continue to monitor developments.

Snowline Gold (SGD:TSXV) announced an initial mineral resource estimate at its Valley Gold deposit located on Snowline's 100% owned Rouge Deposit in the Yukon Territories. The indicated mineral resource estimate was 4.05 Moz at 1.66 g/t and the inferred mineral resource was 3.26 Moz at 1.25 g/t.

B2Gold (BTO:TSX) unveiled a new PEA for the Gramalote project, in Columbia, outlining a medium-scale operation that marks a shift from previous plans. The new PEA envisions an open pit mine producing an average of 185Koz per year of gold over a 12.5-year mine life. The project assumes an after-tax $NPV_{5\%}$ of $778M and pre-production capex of $807M.

Agnico Eagle Mines (AEM:TSX) released an updated reserve and resources estimate for its Detour Lake project which demonstrates that the underground project and the mill optimization have the potential to increase the mine's overall production to an average of approximately one million ounces of gold per year over a 14 year period, starting in 2030.

South Korea has struck deals with **Kazakhstan** to allow its firms to explore for critical minerals in the Central Asian state, as it is the home to major chip producers and leading carmaker Hyundai moves to diversify its supply chain.

Vietnam could allow companies to import gold for the first time in over a decade, as it aims to bridge the widening gap between local prices and international benchmarks**.**

Saudi Arabia aims to kindle investment in **Brazil** through deepening ties. Rio de Janeiro played host to the PIF's first Latin America-focused investment conference that brought Brazilian President Luiz Inacio Lula da Silva, together with Saudi officials, including PIF Governor Yasir Al-Rumayyan.

Japan is set to push for more nuclear power in its next energy policy update as the country seeks a stable electricity supply in the face of growing demand and geopolitical risks.

M&A and Financings

Skeena Resources (SKE:TSX) secured $750M in project financing with Orion Resource Partners for the development, construction, and general working capital required to advance the Company's 100%-owned Eskay Creek Gold-Silver Project.

Paladin Energy (PDN:ASX) and **Fission Uranium (FCU:TSX)** announced it has entered into a definitive agreement in which Paladin will acquire 100% of the issued and outstanding shares of Fission. The implied equity value of the sale is C$1.14B as Fission shareholders will receive 0.1076 shares of Paladin for each Fission share.

Gold Reserve (GRZ:TSXV) announced it will raise up to $30M through a brokered private placement led by Cantor Fitzgerald.

McEwen Mining (MUX:TSX) announced a non-brokered private placement financing for its wholly-owned subsidiary **McEwen Copper** for gross proceeds of $70M.

B2Gold (BTO:TSX) announced that it had sold 79M common shares to **Calibre Mining (CXB:TSX)** for C$139M.

Fireweed Metals (FWZ:TSXV) announced the closing of its C$43M non-brokered private placement, originally announced as a C$30M financing.

Premium Nickel Resources (PNRL:TSXV) announced it had closed both of its non-brokered private placement rounds for total gross proceeds of C$27.5M.

Power Nickel (PNPN:TSXV) announced that it has closed its C$20M over-subscribed flow-through offering.

Thesis Gold (TAU:TSXV) announced it has closed its previously announced oversubscribed brokered private placement of C$21M led by Clarus Securities.

Banyan Gold (BYN:TSXV) announced that it has closed its C$14.3M private placement led by Cormark Securities.

Robex Resources (RBX:TSXV) announced a C$55M best efforts agency offering consisting of over 25M units of the Company at a price of C$2.17 per unit. The offering is led by SCP Resource Finance.

McEwen Mining (MUX:TSX) announced that it closed its C$30M flow-through financing deal led by Cantor Fitzgerald Canada.

Gladiator Metals (GLAD:TSXV) announced that it will increase the size of its previously announced non-brokered private placement to C$12.3M.

Solaris Resources (SLS:TSX) announced that it has closed its previously announced $54M bought deal equity offering co-led by National Bank, BMO, and RBC.

American Creek Resources (AMK:TSXV) announced that it had entered into a non-binding and arm's length letter of intent with Cunningham Mining, a private British Columbia corporation to engage in due diligence and negotiation involving the sale of American Creek to Cunningham.

Lithium Ionic (LTH:TSXV) announced the closing of its oversubscribed non-brokered private placement of $16M, led by long-term strategic shareholders, Fourth Sail and PowerOne.

Updates from Our Coverage

On June 13th, **Trigon Metals Inc. (TM:TSXV, BUY C$3.50 Target)** announced production highlights for the May 2024 underground production at its Kombat Mine in Nambia. The Company also announced guidance for the remainder of its fiscal year (FY25), with production estimates surpassing our estimates. We have maintained and updated TM’s price target to reflect the recent 5-to-1 share consolidation from C$0.70 to C$3.50. Click here to view our research note.

On June 20th, **Omai Gold Mines Corp. (OMG:TSXV, BUY C$0.40 Target)** announced that it completed its previously announced brokered private placement offering of C$13M, led by Paradigm Capital.

On June 27th, **Lake Victoria Gold (LVG:TSX, BUY C$0.45 Target)** announced that it received a tax assessment from the Tanzanian Revenue Authority, which will advance the acquisition of the Imwelo Mining License. To read more on this update, click here.

Performance by Commodity

Commodity	Unit	Price	1 Month	1 Year
Gold	($/oz)	2,323.5	-1%	22%
Silver	($/oz)	29.1	-9%	+29%
Platinum	($/oz)	993.5	-5%	+11%
Copper	($/lb)	4.4	-9%	+19%
Steel	($/t)	3,301.0	-7%	-11%
Iron Ore	($/t)	106.5	-9%	-5%
Lead	($/t)	2,229.0	-4%	6%
Manganese	(CNY/t)	36.5	-12%	+17%
Palladium	($/oz)	960.5	+1%	-22%
Uranium	($/lb)	84.6	-7%	+52%
Lithium	(CNY/t)	91,500.0	-13%	-70%
Cobalt	($/t)	27,150.0	0%	-8%
Nickel	($/t)	17,242.0	-16%	-16%
Tin	($/t)	32,208.0	-5%	+24%
Zinc	($/t)	2,941.0	-5%	+26%
Molydenum	(CNY/kg)	480.0	-4%	-4%
Titanium	(CNY/kg)	49.5	-3%	+0%

Figure 2: Performance by Commodity (Source: Trading Economics)

Performance by Group

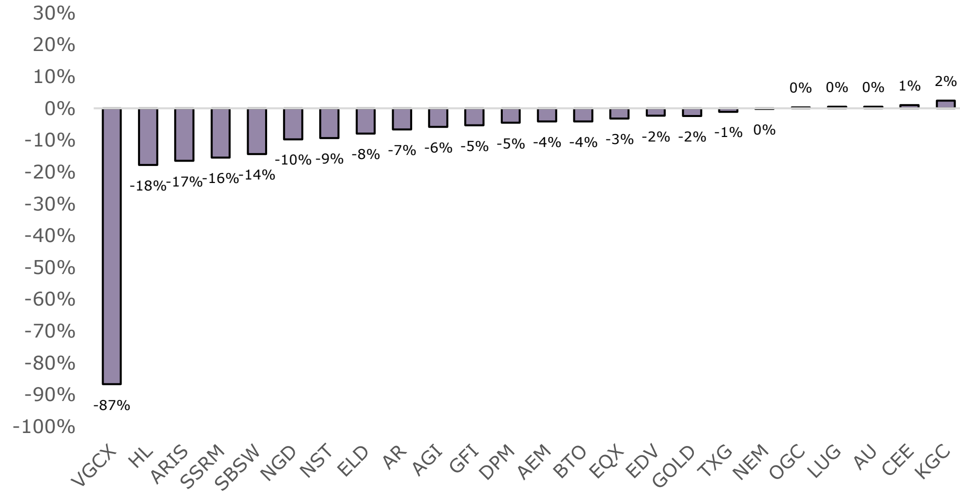

Figure 3: Major Gold Producers June Performance

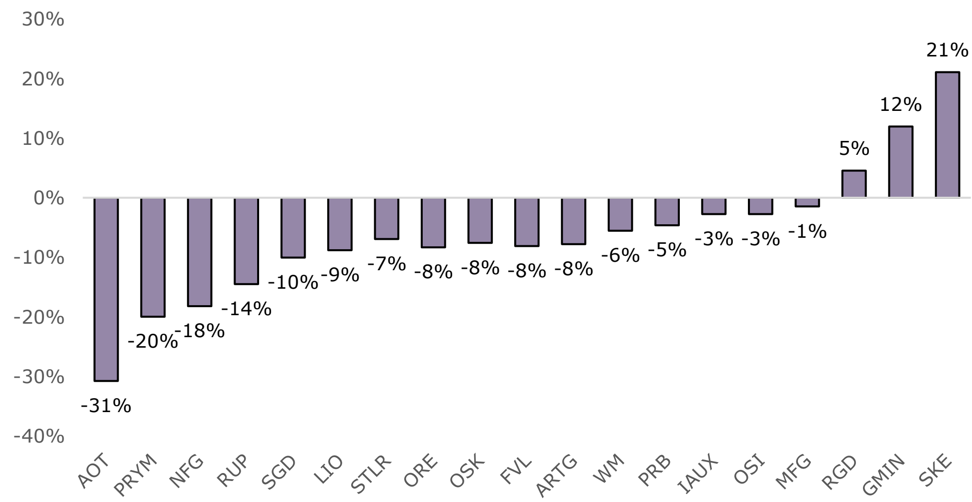

Figure 4: Gold Developers & Major Explorers June Performance

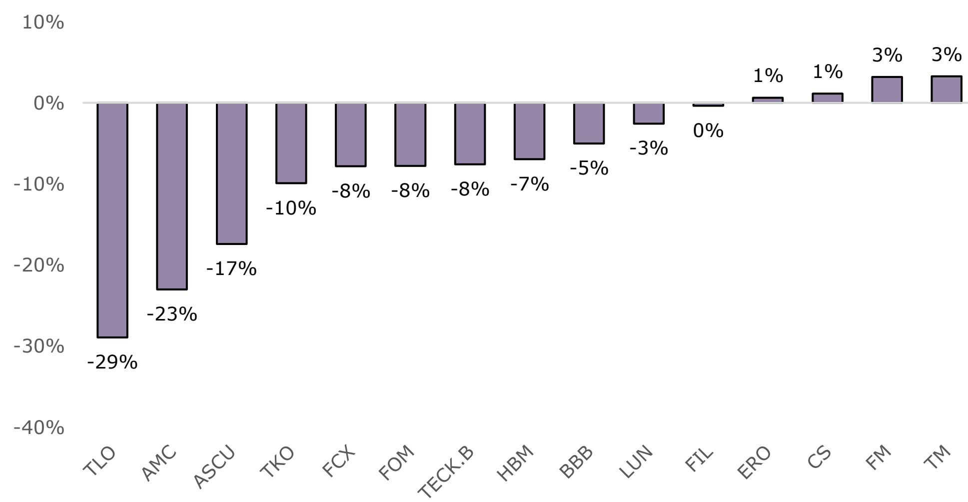

Figure 5: Copper Equities June Performance

Best Drill Intercepts

We highlight the best drill intercepts in the industry as we believe here lies some of the highest upside opportunities in the exploration market, evident by the strong outperformance compared to the broader market as they uncover potentially sizeable assets.

Company	Ticker	Grade (g/t)	Interval (m)	Grade x Width	June Performance
Orezone Gold	ORE	113.70	8	910	-8.3%
NGEx Minerals	NGEX	0.88	727	640	-18.6%
Ramp Metals	RAMP	73.60	8	552	+324.2%
Fortuna Mining	FVI	23.70	21	498	-21.2%
Lion One Metals	LIO	393.00	1	472	-5.9%
Cabral Gold	CBR	33.00	11	363	-29.6%
K92 Mining	KNT	3.06	94	288	+1.2%
Reunion Gold	RGD	2.69	101	272	+2.3%
Karora Resources	KRR	17.30	15	251	+8.6%
First Mining Gold	FF	5.97	33	197	-10.7%

Figure 6: Best Gold Intercepts in June (Source: MinerDeck)

Company	Ticker	Grade (g/t)	Interval (m)	Grade x Width	June Performance
First Majestic Silver	AG	1,034	16	16,544	-17.9%
Vizsla Silver	VZLA	1,017	15	15,052	-7.6%
Pan American Silver	PAAS	5,991	2	13,180	-10.1%
NGEx Minerals	NGEX	14	773	10,977	-18.6%
Australian Gold & Copper	AGC	219	43	9,417	-38.7%
Independence Gold	IGO	608	11	6,385	0.0%
Filo	FIL	6	1,036	5,905	+0.8%
Aldebaran Resources	ALDE	2	1,517	3,140	-8.2%
Abitibi Metals	AMQ	47	58	2,749	-28.1%
Nevada King Gold	NKG	79	31	2,435	-21.2%

Figure 7: Best Silver Intercepts in June (Source: MinerDeck)

Company	Ticker	Grade (%)	Interval (m)	Grade x Width	June Performance
Filo	FIL	1.41	429	605	+0.8%
Ivanhoe Electric	IE	0.55	1,019	560	-17.3%
Culpeo Metals	CPO	0.54	978	528	+35.1%
Solaris Resources	SLS	0.40	801	320	-18.5%
Bravo Mining	BRVO	0.77	349	269	+1.1%
Arizona Sonoran Copper	ASCU	14.30	12	164	-16.8%
Collective Mining	CNL	8.17	14	118	+28.0%
C3 Metals	CCCM	0.34	339	115	+5.0%
New Gold	NGD	0.56	198	111	-10.7%
Power Nickel	PNPN	3.58	30	106	+14.5%

Figure 8: Best Copper Intercepts in June (Source: MinerDeck)

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Ben Pirie holds common shares of B2Gold Corp. (BTO:TSX, Not Rated), Victoria Gold Corp. (VGCX:TSX, Not Rated), Karora Resources Inc. (KRR:TSX, Not Rated)

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HOLD: The stock is expected to generate returns of 0-20% over the next 24 months.
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NOT RATED (N/R): Atrium does not provide research coverage on the respective company.

RATING	COVERED COMPANIES
BUY	13
HOLD	0
SELL	0

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